

February Employment Preview: Back to Payroll Reality

Special Commentary

Economist(s)



[Tom Porcelli](#)



[Sarah House](#)



[Michael Pugliese](#)



[Nicole Cervi](#)

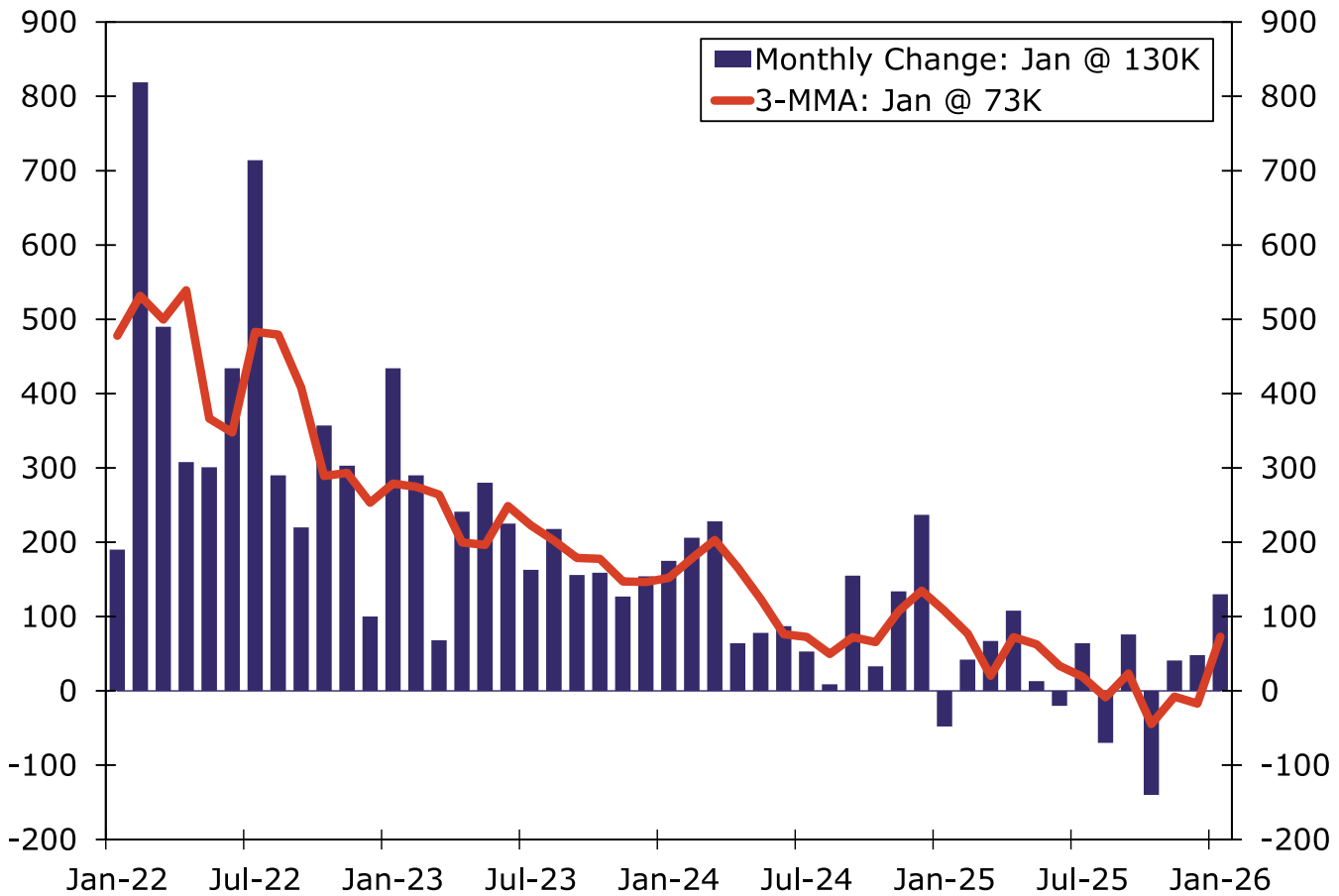
Summary

- We expect the February employment report to show that January's robust pace of job growth overstated underlying momentum in the labor market. We look for nonfarm payrolls to rise 45K in February, moderating from its current three-month average pace of 73K ([Figure 1](#)). While some stabilization in labor demand is evident, a range of indicators, including JOLTS and consumers' perception of job availability, continue to point to a gradual loosening in labor market conditions rather than a renewed acceleration in hiring ([Figure 2](#)).
- Looking across industries, last month's outsized gain in healthcare & social assistance is unlikely to be repeated ([Figure 3](#)). We expect either a downward revision to January and/or some payback with a sub-trend reading in February for this sector. Although recent winter storms largely missed the payroll survey weeks, poor conditions throughout the month likely restrained hiring activity in weather-sensitive sectors, such as leisure & hospitality and construction. By contrast, federal government job cuts should be starting to lose steam, which should help to lessen the drag on employment from the public sector. Netting out our expectation for a roughly 10K decline in government employment, we look for private sector payrolls to rise 55K in February.
- The upcoming jobs report will incorporate the delayed annual population control to the household survey. The adjustment will revise the civilian non-institutional population in January 2026 to better align with the latest Census Bureau estimates. Historical data prior to 2026 will not be revised, leading to a step-change in the January levels. Accordingly, the *levels* of employment, unemployment, the labor force, etc. will not be directly comparable on a year-ago basis. *Ratios* such as the unemployment rate and labor force participation rate should be less impacted, although they too may not be entirely immune if the adjustments reveal a meaningful change in the composition of the population.
- We look for the unemployment rate to hold at 4.3% in February, but we would hasten to add there are a number of cross currents this month that generate quite a lot of two-sided risk. The population control adjustments pose some downside risk, in our view, given the immigration shifts we have seen this year ([Figure 4](#)). At the same time, the household survey's measure of employment growth has been running well ahead of its trend the past two months, leaving some scope for payback in February that could push the jobless rate up to 4.4%. But in the end, we think these cross currents will net out to keep the u-rate steady.
- After a stronger-than-expected gain in January, we expect average hourly earnings growth to return to a trend-like increase of 0.3% month-over-month in February. If realized, AHE would hold steady at 3.7% year-over-year.

Figure 1

U.S. Nonfarm Employment Change

Thousands

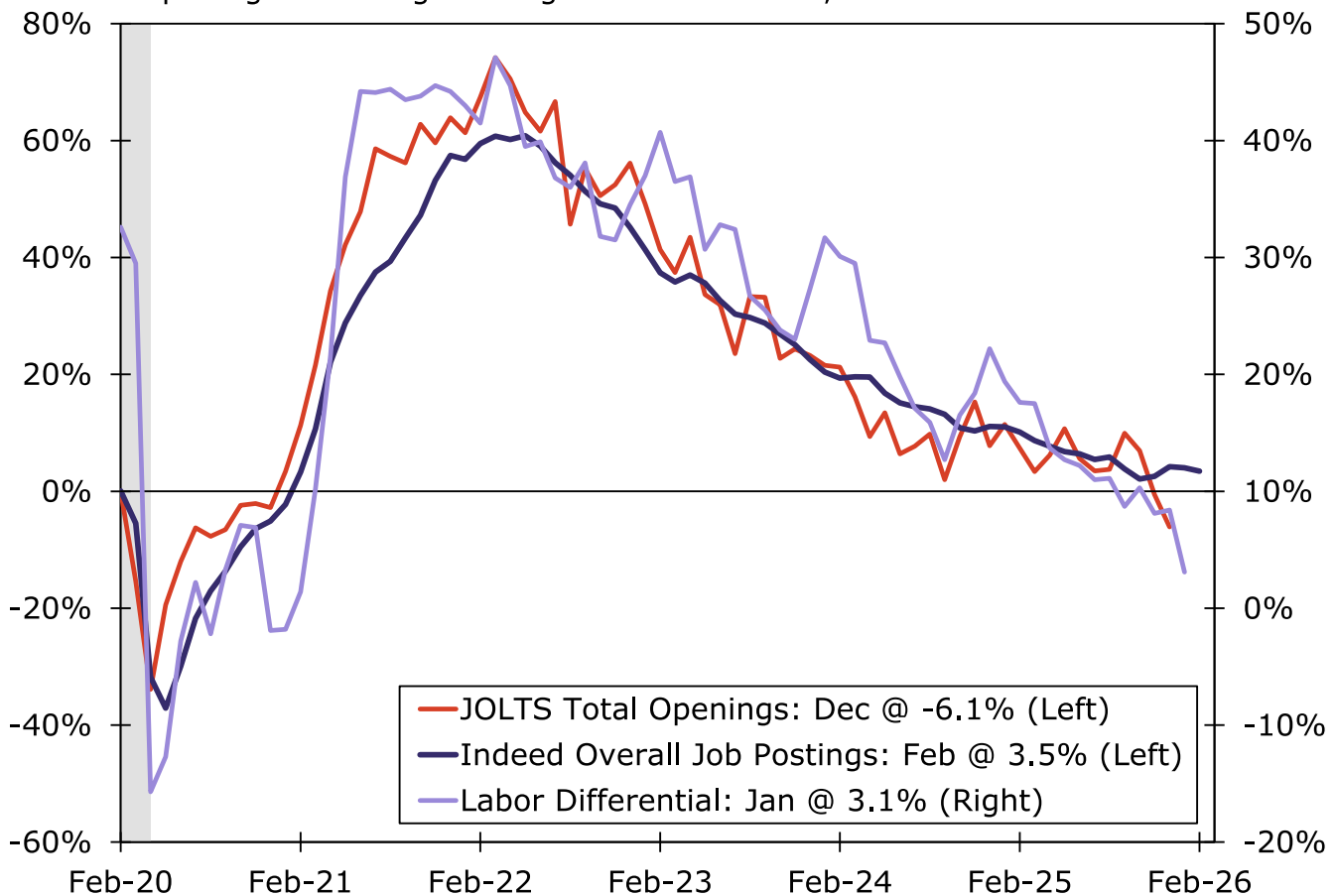


Source: U.S. Department of Labor and Wells Fargo Economics

Figure 2

Job Availability

Openings & Postings % Chg. Since Feb. 2020; Conf. Board Labor Diff.



Source: U.S. Department of Labor, Indeed Inc., the Conference Board and Wells Fargo Economics

Healthcare & Social Assistance Employment

The chart displays the difference in the number of people in Health Care & Social Assistance between January 2020 and January 2021. The y-axis represents the difference in the number of people, ranging from -75 to 150. The x-axis represents time, with labels from 21 to 26. The legend indicates the data series is 'Health Care & Social Assistance: Jan @ 124K'.

Time Period	Difference in Number of People
21	-65
21	40
21	80
21	42
21	10
21	-5
21	8
21	-2
21	35
21	30
21	32
22	-25
22	95
22	60
22	65
22	55
22	80
22	105
22	68
22	82
22	90
22	75
22	85
22	85
22	65
22	70
22	68
22	72
22	82
22	112
22	100
22	85
22	78
22	108
22	72
22	75
22	78
22	95
22	85
22	82
22	65
22	68
22	48
22	42
22	85
22	80
22	75
22	68
22	58
22	48
22	65
22	75
22	62
22	58
22	82
22	22
22	55
22	48
22	58
22	48
22	122

U.S. Unemployment Rate

Seasonally Adjusted

Hispanic: Jan @ 4.7%

Total: Jan @ 4.3%

Year	Hispanic Rate (%)	Total Rate (%)
2014	8.3	6.7
2015	6.8	5.8
2016	5.5	4.9
2017	5.7	4.7
2018	4.9	4.1
2019	4.2	3.8
2020 (Jan)	4.7	3.5
2020 (May)	9.3	10.0
2021	8.5	6.8
2022	4.8	4.0
2023	5.5	3.5
2024	5.0	3.9
2025	5.2	4.2
2026	4.8	4.3

Economics Group

Tom Porcelli	Chief Economist	212-214-6422	Tom.Porcelli@wellsfargo.com
Tim Quinlan	Senior Economist	704-410-3283	Tim.Quinlan@wellsfargo.com
Sarah House	Senior Economist	704-410-3282	Sarah.House@wellsfargo.com
Aroop Chatterjee	Senior Economist	212-214-8819	Aroop.Chatterjee@wellsfargo.com
Charlie Dougherty	Senior Economist	212-214-8984	Charles.Dougherty@wellsfargo.com
Michael Pugliese	Senior Economist	212-214-5058	Michael.D.Pugliese@wellsfargo.com
Brendan McKenna	International Economist	212-214-5637	Brendan.Mckenna@wellsfargo.com
Jackie Benson	Economist	704-410-4468	Jackie.Benson@wellsfargo.com
Shannon Grein	Economist	704-410-0369	Shannon.Grein@wellsfargo.com
Nicole Cervi	Economist	704-410-3059	Nicole.Cervi@wellsfargo.com
Delaney Conner	Economic Analyst	704-374-2150	Delaney.Conner@wellsfargo.com
Ali Hajibeigi	Economic Analyst	212-214-8253	Ali.Hajibeigi@wellsfargo.com
Azhin Abdulkarim	Economic Analyst	212-214-5154	Azhin.Abdulkarim@wellsfargo.com
Anagha Sridharan	Economic Analyst	704-410-6212	Anagha.Sridharan@wellsfargo.com
Andrew Thompson	Economic Analyst	704-410-2911	Andrew.L.Thompson@wellsfargo.com

All estimates/forecasts are as of 2/27/2026 unless otherwise stated. 2/27/2026 9:06:01 EST.

Required Disclosures

This report is produced by the Economics Group of Wells Fargo Bank, N.A. ("WFBNA"). This report is not a product of Wells Fargo Global Research and the information contained in this report is not financial research. WFBNA distributes this report directly and through affiliates including, but not limited to, Wells Fargo Securities, LLC, Wells Fargo & Company, Wells Fargo Clearing Services, LLC, Wells Fargo Securities International Limited, Wells Fargo Securities Europe S.A., and Wells Fargo Securities Canada, Ltd. Wells Fargo Securities, LLC is registered with the Commodity Futures Trading Commission as a futures commission merchant and is a member in good standing of the National Futures Association. WFBNA is registered with the Commodity Futures Trading Commission as a swap dealer and is a member in good standing of the National Futures Association. Wells Fargo Securities, LLC and WFBNA are generally engaged in the trading of futures and derivative products, any of which may be discussed within this report. All reports published by the Economics Group are disseminated and available to all clients simultaneously through electronic publication to our public website. Clients may also receive our reports via third party vendors. We are not responsible for the redistribution of our reports by third-party aggregators. Any external website links included in this report are not maintained, controlled or operated by WFBNA. WFBNA does not provide the products and services on these websites and the views expressed on these websites do not necessarily represent those of WFBNA.

This publication has been prepared for informational purposes only and is not intended as a recommendation, offer or solicitation with respect to the purchase or sale of any security or other financial product, nor does it constitute professional advice. The information in this report has been obtained or derived from sources believed by WFBNA to be reliable, but has not been independently verified by WFBNA, may not be current, and WFBNA has no obligation to provide any updates or changes. All price references and market forecasts are as of the date of the report or such earlier date as may be indicated for a particular price or forecast. The views and opinions expressed in this report are those of its named author(s) or, where no author is indicated, the Economics Group; such views and opinions are not necessarily those of WFBNA and may differ from the views and opinions of other departments or divisions of WFBNA and its affiliates. WFBNA is not providing any financial, economic, legal, accounting, or tax advice or recommendations in this report. Neither WFBNA nor any of its affiliates makes any representation or warranty, express or implied, as to the accuracy or completeness of the statements or any information contained in this report, and any liability therefore (including in respect of direct, indirect or consequential loss or damage) is expressly disclaimed. WFBNA is a separate legal entity and distinct from affiliated banks, and is a wholly-owned subsidiary of Wells Fargo & Company.

You are permitted to store, display, analyze, modify, reformat, copy, duplicate and reproduce this report and the information contained within it for your own use and for no other purpose. Without the prior written consent of WFBNA, no part of this report may be copied, duplicated or reproduced in any form by any other means. In addition, this report and its contents may not be redistributed or transmitted to any other party in whole or in part, directly or indirectly, including by means of any AI Technologies (defined below) through which this report or any portion thereof may be accessible by any third-party. "AI Technologies" means any deep learning, machine learning, and other artificial intelligence technologies, including without limitation any and all (a) proprietary algorithms, software, or systems that make use of or employ neural networks, statistical learning algorithms (such as linear and logistic regression, support vector machines, random forests or k-means clustering) or reinforcement learning, or curated data sets accessible by any of the foregoing or (b) proprietary embodied artificial intelligence and related hardware or equipment. In addition, certain text, images, graphics, screenshots and audio or video clips included in this report are protected by copyright law and owned by WFBNA, its affiliates or one or more third parties (collectively, "Protected Content"). Protected Content is made available to clients by Wells Fargo under license or otherwise in accordance with applicable law. Any use or publication of Protected Content included in this report for purposes other than fair use requires permission from WFBNA or, in the case of content attributed to any third party, the third-party copyright owner. You may not alter, obscure, or remove any copyright, trademark or any other notices attached to or contained within this report. All rights not expressly granted herein are reserved by WFBNA or the third-party providers from whom WFBNA has obtained the applicable information. © 2026 Wells Fargo Bank, N.A.

Important Information for Non-U.S. Recipients

For recipients in the United Kingdom, this report is distributed by Wells Fargo Securities International Limited ("WFSIL"). WFSIL is a U.K. incorporated investment firm authorized and regulated by the Financial Conduct Authority ("FCA"). For the purposes of Section 21 of the UK Financial Services and Markets Act 2000 (the "Act"), the content of this report has been approved by WFSIL, an authorized person under the Act. WFSIL does not deal with retail clients as defined in the Directive 2014/65/EU ("MiFID2"). The FCA rules made under the Act for the protection of retail clients will therefore not apply, nor will the Financial Services Compensation Scheme be available. For recipients in the EFTA, this report is distributed by WFSIL. For recipients in the EU, it is distributed by Wells Fargo Securities Europe S.A. ("WFSE"). WFSE is a French incorporated investment firm authorized and regulated by the Autorité de contrôle prudentiel et de résolution and the Autorité des marchés financiers. WFSE does not deal with retail clients as defined in MiFID2. This report is not intended for, and should not be relied upon by, retail clients.

SECURITIES: NOT FDIC-INSURED - MAY LOSE VALUE - NO BANK GUARANTEE